

CHAPTER 12

Building Your Portfolio

KEY CONCEPTS

- A proper asset allocation is designed to match an investor's needs.
- The overall risk cannot be above one's tolerance for risk.
- The life-cycle method is a good place to start.
- A modified version of "your age in bonds" is also helpful.

A successful investment plan is one that is designed specifically for the person who intends to use it. While people's asset allocations will be broadly similar in some ways, each person's allocation will be uniquely different in others. This and the next two chapters offer guidance on designing an investment plan that is right for your needs.

Asset allocation books tend to have several examples of portfolios, and this one is no exception. The portfolios in this chapter are categorized into four generic groups based on different stages of life. The sample portfolios provided are general in nature and should be considered only as a guide when planning your portfolio.

"Your age in bonds" is a simplified method for determining the amount of risk to have in a portfolio. This method works well for younger people; however, it does not work as smoothly for all people nearing retirement or in retirement. Adjustments to the model are discussed that puts people's allocation age in line with their real life circumstances.

LIFE-CYCLE INVESTING

Your asset allocation will change several times as your circumstances and resources change over time. Investors' ages tend to have a meaningful impact on asset allocation decisions, not so much because they are aging but because over a career people convert their labor into assets and then live off those assets in retirement. In addition, people of different ages have different financial wants and needs, and that correlates with different perceptions on investment risk.